

May 20, 2026 12:49 AM GMT

## Global Sugar | Latin America

## Timing the Turning Point

Consensus is constructive on sugar, but we think the market is underpricing timing risk: Brazil may cap prices near term, yet El Niño, ethanol policy, and supply response keep the medium-term skew positive. We see near-term weakness as a timing issue, not a change in the cycle call; SMT0 remains OW.

## Key Takeaway from Sugar Week in New York

**Consensus continues to point to a gradual tightening in the global sugar balance into 2026/27, yet near-term price dynamics remain more pressured than is widely understood.** Brazil-centric factors are driving the pricing pressure. Near term, Brazil can add supply and pressure prices because the crop is larger/faster, ethanol prices have weakened as inventories are expected to rebuilt, and mills may shift back toward sugar. But that near-term supply relief may come at the expense of future supply: Weak producer margins discourage cane renewal, as production costs in Brazil are currently above 16clb, which is above nearest contract NY11 at 15clb, so areas that would normally be replanted may be harvested in another cycle instead. That supports current crush, but worsens the cane age profile and lowers future yields, tightening the 2027/28 balance.

**This is why we see prices pressured around 15¢/lb near term while still raising our medium-term price to 17¢/lb:** We think the market is focused on the immediate Brazil supply cap, but underpricing the medium-term tightening from lower renewal, El Niño risk, and policy-driven ethanol demand.

## Stock Implications: OW SMT03

**Importantly, current market expectations embed only a modest tightening,** and likely exclude upside risks from any outsized El Niño implications and policy-driven ethanol demand. Weather impacts across India, Thailand, and Europe, alongside potential strengthening of ethanol blend mandates, could tighten balances beyond what is currently priced, we think.

**Overall, Sugar Week reinforced our view that while the direction of fundamentals is well understood, the timing and asymmetry of risks are not —** arguing against extrapolating near-term softness into longer-term assumptions. **And we continue to see SMT03 (OW) as the best way to play this asymmetric risk-reward,** given its low-cost asset base, high operating leverage to a sugar/ethanol price recovery, and underappreciated corn ethanol business. While near-term results should remain pressured by a stronger BRL, higher diesel/input costs, and weak spot ethanol prices, we believe SMT0 offers the cleanest listed exposure to a higher sugar price floor and potential ethanol recovery, with valuation still not fully reflecting a cycle turn.

## What's Changed

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## LATAM AGRIBUSINESS

Latin America

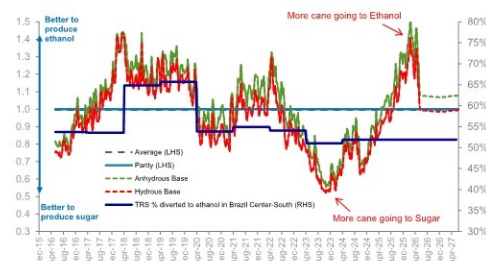
Industry View

In-Line

## WHAT'S CHANGED

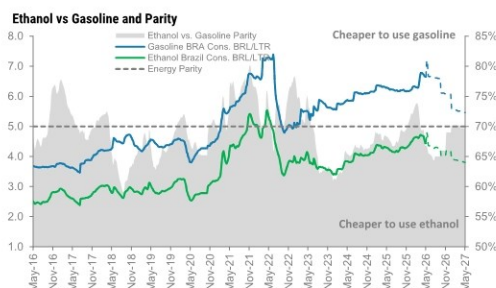
| Sao Martinho SA (SMT03.SA) | From     | To       |
|----------------------------|----------|----------|
| Price Target               | R\$22.00 | R\$24.00 |

**Exhibit 7 :** Rapidly rising ethanol inventories are pressuring ethanol prices, reducing immediate off-take capacity.



Source: Datastream, Eikon, Morgan Stanley Research.

**Exhibit 8 :** Falling Ethanol and Normalizing Oil Reinforce Brazil Max-Sugar Expectations



Source: Datastream, Eikon, Morgan Stanley Research.

## More Details Inside on:

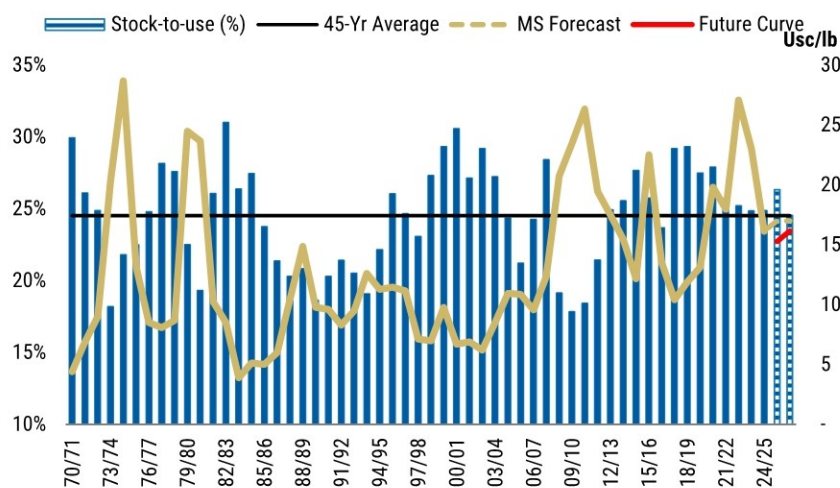
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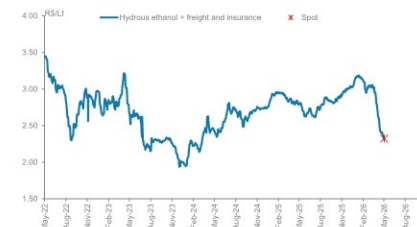
**What has changed vs. our prior view.** The key surprise since our last update has been the speed of the ethanol price correction, which declined sharply from March despite a more supportive external backdrop (rising oil prices and geopolitical risk). Ethanol inventories have built quickly, reflecting both strong early supply and weaker demand — likely compounded by some front-loading of gasoline consumption ahead of expected price hikes. As a result, ethanol producers have not captured the upside from higher oil prices, creating a clear divergence versus our prior expectations.

**Exhibit 1:** Sugar Stocks to use (%) and NY Sugar Price (Usc/lb): We expect Global Stock-to-use ratio declining toward historical levels, supporting prices



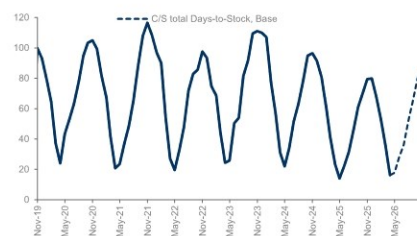
Source: USDA, Datastream, Morgan Stanley Research estimates.

**Exhibit 2:** Hydrous Ethanol Price: declined sharply from March despite a more supportive external backdrop



Source: Datastream, Morgan Stanley Research.

**Exhibit 3:** Hydrous Ethanol Inventories in the CS: Ethanol inventories to build quickly, reflecting both strong early supply and weaker demand



Source: UNICA, Datastream, Morgan Stanley Research estimates.

At the same time, **fuel price policy has become a more binding constraint.** Despite higher oil prices, Petrobras has kept gasoline prices unchanged, and market expectations are that any eventual increase will be partially offset by subsidies or tax reductions, particularly in an election year. This has effectively capped gasoline prices and delayed ethanol price recovery, reinforcing the weak near-term environment.

These dynamics have already fed through to sugar, with the market starting to **price**

- El Niño Likely; Strength Is the Swing Factor
- São Martinho: Interesting Risk Reward
- Morgan Stanley Sugar Supply and Demand Estimate Changes

**Exhibit 9:** MS Global Sugar Supply and Demand: Estimates Summary and Estimates Summary Changes

|                                   | Current      |              |              |              | Previous     |              |              |        | Estimate Change % |  |
|-----------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------|-------------------|--|
|                                   | 23/24        | 24/25        | 25/26e       | 26/27e       | 24/25        | 25/26e       | 26/27e       | 25/26e | 26/27e            |  |
| <b>Production</b>                 |              |              |              |              |              |              |              |        |                   |  |
| Brazil                            | 45.5         | 43.7         | 44.0         | 42.9         | 43.7         | 42.2         | 44.1         | +4%    | -3%               |  |
| India                             | 29.5         | 28.0         | 28.2         | 27.3         | 28.0         | 32.0         | 31.0         | -12%   | -12%              |  |
| Thailand                          | 8.8          | 10.0         | 12.0         | 9.5          | 10.0         | 11.0         | 9.9          | +9%    | -4%               |  |
| European Union                    | 15.7         | 16.4         | 15.1         | 15.1         | 16.4         | 15.1         | 15.1         | +0%    | +0%               |  |
| China                             | 10.0         | 11.2         | 12.5         | 11.5         | 11.2         | 12.5         | 11.5         | +0%    | +0%               |  |
| Rest of the World                 | 70.7         | 71.2         | 71.7         | 72.0         | 71.2         | 71.7         | 72.0         | +0%    | +0%               |  |
| <b>Production (mn tns)</b>        | <b>180.2</b> | <b>180.5</b> | <b>183.5</b> | <b>178.2</b> | <b>180.5</b> | <b>184.4</b> | <b>183.6</b> | -1%    | -3%               |  |
| YoY Change                        | 0.5%         | 0.1%         | 1.7%         | -2.9%        | 0.1%         | 2.2%         | -0.5%        |        |                   |  |
| <b>Demand</b>                     |              |              |              |              |              |              |              |        |                   |  |
| Brazil                            | 9.5          | 9.0          | 9.0          | 8.9          | 9.0          | 9.0          | 8.9          | +0%    | +0%               |  |
| India                             | 30.3         | 30.4         | 30.1         | 30.1         | 30.4         | 30.4         | 30.4         | -1%    | -1%               |  |
| Thailand                          | 3.8          | 4.0          | 4.0          | 4.1          | 4.0          | 4.1          | 4.1          | -0%    | -0%               |  |
| European Union                    | 16.4         | 15.9         | 15.9         | 15.8         | 15.9         | 15.9         | 15.9         | +0%    | +0%               |  |
| China                             | 15.5         | 15.4         | 15.5         | 15.5         | 15.4         | 15.5         | 15.5         | +0%    | +0%               |  |
| Rest of the World                 | 105.3        | 105.8        | 106.3        | 106.9        | 105.8        | 106.3        | 106.9        | +0%    | +0%               |  |
| <b>Demand (mn tns)</b>            | <b>180.8</b> | <b>180.5</b> | <b>180.8</b> | <b>181.4</b> | <b>180.5</b> | <b>181.1</b> | <b>181.7</b> | -4%    | -4%               |  |
| YoY Change                        | 0.0%         | -0.2%        | 0.2%         | 0.3%         | -0.2%        | 0.3%         | 0.3%         |        |                   |  |
| <b>Global Ending Stocks</b>       | <b>45.0</b>  | <b>44.9</b>  | <b>47.6</b>  | <b>44.5</b>  | <b>44.9</b>  | <b>48.2</b>  | <b>50.1</b>  | -1%    | -11%              |  |
| <b>Surplus/Deficit (000 tns)</b>  | <b>-0.6</b>  | <b>-0.1</b>  | <b>2.7</b>   | <b>-3.1</b>  | <b>-0.1</b>  | <b>3.4</b>   | <b>1.9</b>   | -19%   | -285%             |  |
| Surplus/Deficit as% of use        | 0%           | 0%           | 1%           | -2%          | 0%           | 2%           | 1%           | -38p   | -275p             |  |
| <b>Stock-to-use (%)</b>           | <b>25%</b>   | <b>25%</b>   | <b>26%</b>   | <b>25%</b>   | <b>24.9%</b> | <b>26.6%</b> | <b>27.6%</b> | -37p   | -306p             |  |
| <b>Sugar Price-NY#11 (Usc/lb)</b> | 23.0         | 16.1         | 17.8         | 17.9         | 16.1         | 15.9         | 16.1         | +13%   | +6%               |  |
| <b>Future curve (Usc/lb)</b>      | 14.7         | 15.7         | 16.3         | 16.9         | 14.8         | 15.4         | 15.7         | +6%    | +7%               |  |
| <b>Oil</b>                        | 82.2         | 79.8         | 100.0        | 89.0         | 79.8         | 62.0         | 63.8         | +61%   | +25%              |  |

Source: USDA, Morgan Stanley Research estimates, UNICA, Conab.

**Exhibit 10:** MS Brazil Sugar and Ethanol Production Estimates Change Summary

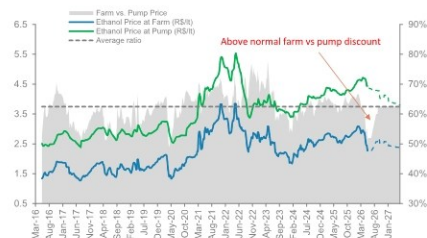
| Old vs New                             | Current |       |        |        | Previous |        |        |        | Estimate change % |  |
|----------------------------------------|---------|-------|--------|--------|----------|--------|--------|--------|-------------------|--|
|                                        | 23/24   | 24/25 | 25/26e | 26/27e | 24/25    | 25/26e | 26/27e | 25/26e | 26/27e            |  |
| <b>Brazil</b>                          |         |       |        |        |          |        |        |        |                   |  |
| <b>Center South (Apr-Mar)</b>          |         |       |        |        |          |        |        |        |                   |  |
| Cane Crushing (mn tns)                 | 654     | 622   | 611    | 636    | 622      | 607    | 622    | +1%    | +2%               |  |
| TRS (kg/tn)                            | 139.2   | 141.1 | 137.8  | 138.5  | 141.1    | 137.5  | 140.3  | +0%    | -1%               |  |
| Sugar Mix                              | 49.0%   | 48.1% | 50.4%  | 48.0%  | 48.1%    | 51.0%  | 45.7%  |        |                   |  |
| Ethanol Mix                            | 51.0%   | 51.9% | 49.6%  | 52.0%  | 51.9%    | 49.0%  | 54.3%  |        |                   |  |
| Sugar Production (mn tns)              | 42      | 40    | 40     | 40.3   | 40.2     | 40.6   | 38.0   | -0%    | +6%               |  |
| Ethanol (bn liters)                    | 27.3    | 26.8  | 24.5   | 25.9   | 27.1     | 23.2   | 26.9   | +6%    | -3%               |  |
| <b>North North East</b>                |         |       |        |        |          |        |        |        |                   |  |
| Cane Crushing (mn tns)                 | 60.7    | 58.4  | 57.0   | 55.9   | 58.4     | 59.6   | 60.2   | -4%    | -7%               |  |
| Sugar Production (mn tns)              | 3.4     | 3.8   | 3.7    | 3.2    | 3.8      | 3.7    | 3.9    | +1%    | -17%              |  |
| <b>Brazil</b>                          |         |       |        |        |          |        |        |        |                   |  |
| Cane Crushing (mn tns)                 | 716.1   | 680.3 | 668.2  | 691.7  | 680.3    | 666.4  | 682.3  | +0%    | +1%               |  |
| Sugar Production (mn tns) Apr-Mar      | 45.8    | 44.0  | 44.2   | 43.5   | 44.0     | 44.2   | 41.9   | -0%    | +4%               |  |
| Sugar Production (mn tns) Sep-Oct      | 45.5    | 43.7  | 44.0   | 42.9   | 43.7     | 44.0   | 42.9   | +0%    | +0%               |  |
| <b>Ethanol</b>                         |         |       |        |        |          |        |        |        |                   |  |
| Ethanol Production (CS)                | 33.6    | 35.0  | 33.7   | 37.5   | 34.7     | 32.6   | 37.8   |        |                   |  |
| Total Cane Ethanol (bn lt) (anhydrous) | 27.3    | 26.8  | 24.5   | 25.9   | 27.1     | 23.2   | 26.9   | +6%    | -3%               |  |
| Total Corn Ethanol (bn lt) (anhydrous) | 6.27    | 8.19  | 9.19   | 11.59  | 7.6      | 9.5    | 10.9   | -3%    | +6%               |  |
| Ethanol price (from adeco model)       | 2.41    | 2.75  | 2.93   | 3.12   | 2.75     | 2.93   | 3.12   | +0%    | +0%               |  |

Source: USDA, Morgan Stanley Research estimates, UNICA, Conab.

an earlier shift toward max-sugar production in Brazil, adding to near-term pressure as the harvest also looks larger and potentially faster.

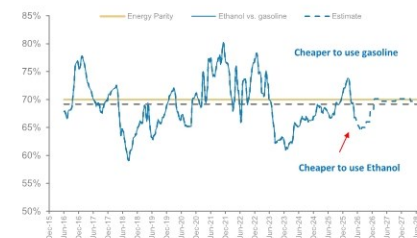
**What we think now.** While near-term conditions remain challenging, we view the current setup as **unsustainable** for long. Current hydrous ethanol prices (~R\$2,300/m<sup>3</sup> in Paulínia) appear close to a floor, particularly given historically low farm-to-pump spreads (see [Exhibit 4](#)). We would expect some normalization in distributor margins and a seasonal narrowing of the ethanol-to-gasoline discount after the peak of the harvest, supporting a gradual recovery in prices.

**Exhibit 4:** Ethanol at the pump vs. farms



Source: Datastream, Morgan Stanley Research estimates.

**Exhibit 5:** Ethanol vs Gasoline and Parity



Source: Datastream, Morgan Stanley Research estimates.

**Even assuming some moderation in gasoline prices, we see ethanol prices recovering through the year, with hydrous moving from ~15¢/lb toward ~17¢/lb by year-end, supporting our sugar price forecast.** For the companies, FX appreciation and higher costs (diesel, inputs) should continue to pressure cash flows, reinforcing that near-term earnings remain under pressure. That said, weaker prices should ultimately lead to tighter supply responses, and combined with increasing El Niño risks, reinforce our view that the cycle is approaching a bottom.



# Key Takeaways

## Consensus tightening intact, but short-term softness and asymmetric upside risks dominate

Discussions during Sugar Week reinforced a broadly shared view of gradual tightening in the global sugar balance, but also highlighted a disconnect between near term price dynamics and medium term risks. While fundamentals look more constructive into 2026/27, much of this view is now well understood — shifting investor focus from direction to timing and asymmetry.

### What appears priced in:

- A modest to moderate tightening of the global sugar balance into 2026/27, without a deficit shock.
- Brazil as the swing producer, with supply shaped by operational execution during a largely max sugar season. With ethanol prices having collapsed, the market is expected to tilt toward sugar sooner rather than later
- India structurally constrained, with exports remaining restricted and policy driven amid domestic stock priorities.
- Europe in decline, as low prices pressure acreage and accelerate supply rationalization.

This supports prices stabilizing above recent cycle lows but does not embed strong upside catalysts.

**Why the near term may stay soft:** Despite a constructive medium term narrative, several factors point to continued near term pressure:

- The Brazilian harvest looks larger and potentially faster, supported by ample cane availability.
- Higher probabilities of El Niño bringing more rainfall later in the season may accelerate harvesting, front loading supply and/or improving next year availability.
- Rapidly rising ethanol inventories are pressuring ethanol prices, reducing immediate off take capacity.
- At the same time, gasoline prices remain below parity, with sentiment that the government will continue to manage pump prices — including through subsidies — to avoid further increases, limiting ethanol price support.
- A faster harvest profile may therefore pressure sugar prices in the short term, without necessarily translating into maximum sugar output, given logistical and operational constraints.

Near term weakness reflects timing, inventory and policy effects, rather than a deterioration in underlying fundamentals.

### Brazil: agronomic dynamics drive the adjustment

Lower prices are unlikely to cap supply through capital restraint in the short term. Instead, the adjustment occurs through agronomic and operational channels, particularly as ethanol economics weaken:

- **In the near term, lower returns discourage cane renovation, increasing harvested area as fields are kept an additional cycle — adding supply and prolonging softness.**
- Over time, lower renovation rates reduce yields, tightening balances in subsequent crops.
- This creates an important asymmetry: short term supply relief at the cost of tighter medium term fundamentals.

### What is likely not fully priced yet: weather and ethanol demand

The current consensus tightening excludes upside risks, most notably:

- El Niño impacts:
  - India: potential loss of 1–2 mnt in 2026/27 and risk of acreage reduction in 2027/28 given low reservoir levels.
  - Thailand: historical El Niño episodes imply 7–13% yield losses, not embedded in base cases.
  - Europe: low prices may drive faster than expected acreage contraction.
- Policy driven ethanol demand:



- On the bearish side, sugar demand growth could slow further, with expectations shifting to a lower — though still positive — growth trajectory

Incremental demand from higher or more strictly enforced ethanol blend mandates across the globe represents a potential upside surprise, potentially supporting higher ethanol prices and cane diversion to ethanol once inventories normalize — a dynamic only partially reflected in current balances.

# El Niño Likely; Strength Is the Swing Factor

**El Niño matters for sugar because it can reduce Asian cane availability while disrupting Brazil's harvest execution, tightening supply even if planted area does not change.** In India and Thailand, the main risk is a weaker monsoon: lower rainfall during the July–September window can reduce reservoir recharge, soil moisture and cane development, pressuring yields and limiting export availability in 2026/27. **In Brazil**, El Niño does not necessarily damage cane stands directly, but irregular or above-normal rains during the Center-South harvest can reduce crushing days, disrupt field access, dilute ATR/TRS and push cane into the next crop year. The result is potentially less sugar available to the market through lower Asian production and slower/lower-quality Brazilian crushing.

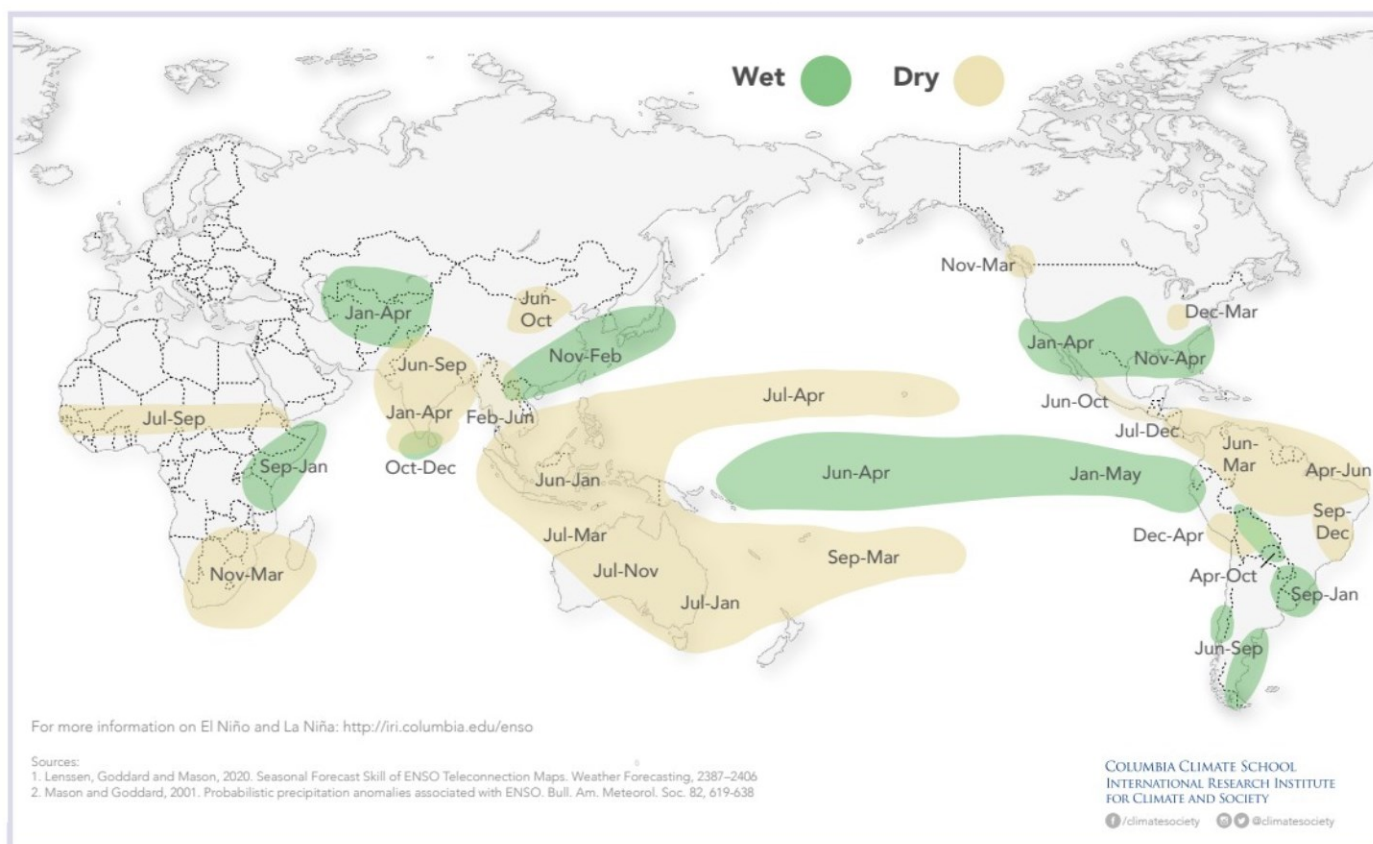
More here: [Global Agribusiness: Weather Outlook: El Niño by Weather Experts \(7 May 2026\)](#)

**El Niño Risks assessment:** NOAA/CPC's May update moved to an El Niño Watch, with an 82% probability of emergence in May–July and 96% probability of persistence through Dec-26/Feb-27. For sugar, the key monitor is whether India's monsoon or Thailand cane development actually deteriorate; without visible crop impact, this risk should support the price floor rather than drive a new price deck.

**Exhibit 10:** El Niño weather can be challenging for sugar production in key producing regions

## EL NIÑO AND RAINFALL

El Niño conditions in the tropical Pacific are known to shift rainfall patterns in many different parts of the world. The regions and seasons shown on the map below indicate **typical** but not guaranteed impacts of El Niño.



Source: NOAA, IRI Columbia

**Brazil adds execution risk, but the signal is less directional.** El Niño can increase heat, evapotranspiration, fire risk, or irregular rains, which could affect crush days and ATR/TRS. However, peak intensity remains uncertain, so we treat it as a monitoring variable that reduces confidence in further downside, not as a base-case driver of a sustained rally.

**Exhibit 11:** El Nino is historically associated with higher sugar prices, but it depends on when it happens and how strong it is



Source: Morgan Stanley Estimates, NOAA, Refinitiv Eikon

**Exhibit 12:** El Niño probabilities increased

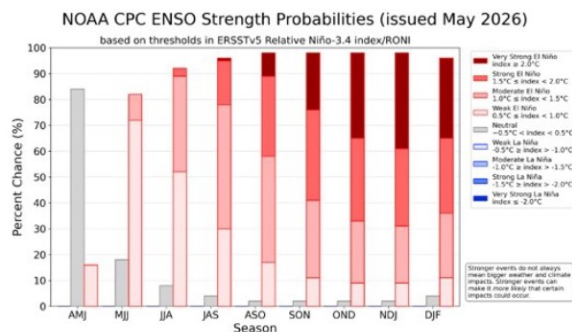


Figure 8. ENSO strength probabilities for the Niño 3.4 relative sea surface temperature index (5°N-5°S, 170°W-120°W) minus tropical mean (20°N-20°S). The relative index is re-scaled to match the variance of the traditional index. Figure updated 14 May 2026. Higher resolution image/table: [https://cpc.ncep.noaa.gov/products/analysis\\_monitoring/ens/roni/strengths.php](https://cpc.ncep.noaa.gov/products/analysis_monitoring/ens/roni/strengths.php)

Source: NOAA

**Exhibit 13:** El Nino Tend to reach their maximum strength during October - February

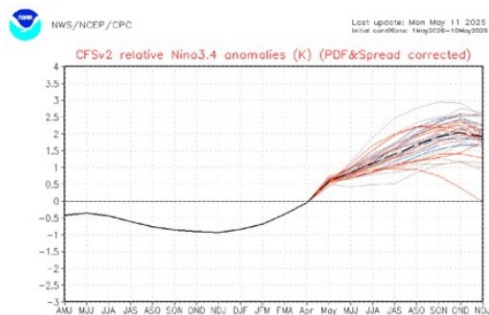


Figure 6. NCEP Climate Forecast System (CFSv2) prediction of relative sea surface temperature anomalies for the Niño 3.4 index (5°N-5°S, 170°W-120°W) minus tropical mean (20°N-20°S). The relative index is re-scaled to match the variance of the traditional index. Figure updated 11 May 2026.

Source: NOAA



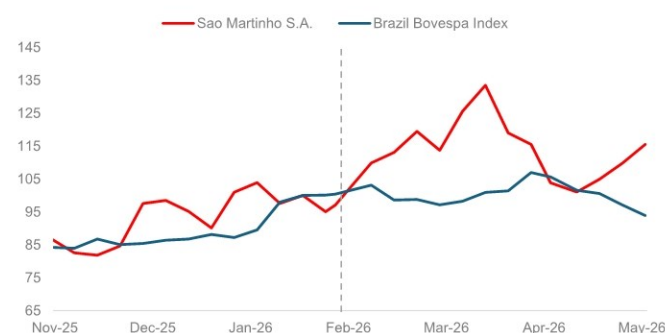
# São Martinho: Interesting Risk Reward

**We remain Overweight on São Martinho and raise our base case PT to R\$24, as the risk/reward remains attractive despite near-term earnings pressure.** The stock has outperformed since our last report, but we believe the move is supported by higher Oil prices and a tighter 12–18M sugar setup, rising weather/policy optionality, and SMTO's position as a low-cost, high-quality way to play the cycle turn. Our updated Risk Reward framework is now R\$24 base (price target) / R\$38 bull / R\$12 bear, versus R\$22 / R\$37 / R\$12 previously, implying a more favorable upside skew.

**Near-term fundamentals are still challenging, but we see them as timing pressure rather than a thesis break.** Ethanol prices corrected faster than expected, inventories rebuilt quickly with the new crop, and hydrous demand has not yet recovered share versus gasoline. In addition, a stronger BRL and higher diesel/input costs should weigh on margins and cash flow in the coming quarters. We now forecast adjusted EBITDA of R\$3.4bn in 2026E, R\$2.9bn in 2027E, and R\$2.9bn in 2028E, with leverage rising to 1.9x ND/EBITDA in 2027E before easing

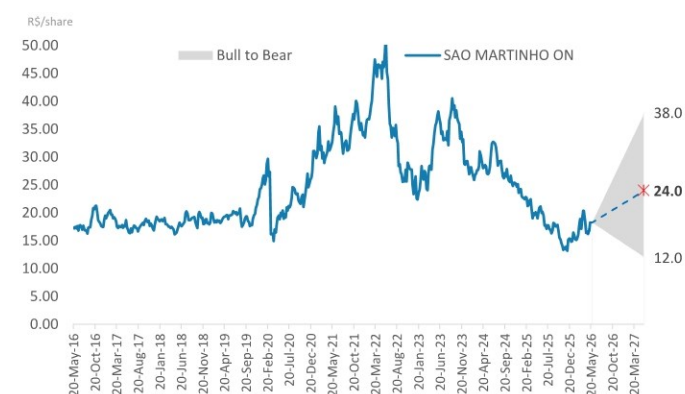
**Exhibit 14:** Since our last report, Sao Martinho has outperformed the Bovespa Index, despite partial retracement from March highs

Sao Martinho Price Performance vs Brazil Bovespa (2/3/2026 = 100)



Source: Datastream, Company Data.

**Exhibit 15:** São Martinho Bull-Bear Skew: positive risk reward



Source: Factset, Morgan Stanley Research

**The reason we stay OW is that the commodity risk skew looks attractive, while SMTO still offers operating leverage to a recovery.**

The market is already pricing part of Brazil's max-sugar response, but we think downside to sugar is increasingly limited by tighter India availability, lower 2026/27 Thailand supply, and El Niño support. And remind investors that production costs in Brazil are currently above 16clb, which is above nearest contract NY11 at 15clb.

**The key debate is no longer whether near-term results are under pressure, but whether the market is underestimating the next leg of upside.** At current market prices there is little to none FCF generation even for players like Sao Martinho, which is among the best assets in Brazil. For SMTO we estimate every 1clb change in Sugar price is ~R\$180mn/USD 30mn EBITDA or 3.1% of current mkt cap.

Our bull case sugar moves toward 21clb resulting in R\$0.9-1bn cash-flow for SMTO sugar operation or 15-17% yield, without any significant gains on the ethanol part given its gasoline parity cap. Downside risks remain Petrobras gasoline intervention, further BRL appreciation, weaker hydrous demand, and a faster Brazil shift back to sugar; however, at this stage, we believe the balance of risks still supports an OW rating.

**Exhibit 16:** São Martinho - Model Summary

| ANNUAL ESTIMATES                       |              |              |              |              |              |              |              |
|----------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Operational Assumptions                | 2022         | 2023         | 2024         | 2025         | 2026E        | 2027E        | 2028E        |
| Sugar cane crushing - mn tn            | 19.9         | 20.0         | 23.1         | 21.8         | 21.7         | 23.2         | 23.4         |
| <b>Volume Sold</b>                     |              |              |              |              |              |              |              |
| Sugar ('000 Tn)                        | 1,326        | 1,205        | 1,463        | 1,325        | 1,423        | 1,491        | 1,539        |
| Ethanol ('000 cbm)                     | 885          | 1,007        | 952          | 965          | 909          | 986          | 977          |
| Cogeneration ('000 MWh)                | 871          | 804          | 786          | 964          | 1,134        | 1,035        | 1,045        |
| <b>Average Prices</b>                  |              |              |              |              |              |              |              |
| Sugar Nybot prices (US\$ c/lb)         | 15.1         | 18.9         | 22.8         | 19.9         | 16.8         | 17.0         | 17.0         |
| SMTO avg sugar price (R\$/Tn)          | 1,769        | 2,168        | 2,476        | 2,465        | 2,327        | 1,992        | 1,967        |
| SMTO avg ethanol price (R\$/cbm)       | 3,381        | 3,434        | 2,422        | 2,731        | 2,949        | 2,578        | 2,436        |
| Cogeneration (R\$/MWh))                | 257          | 238          | 244          | 242          | 255          | 263          | 273          |
| Financial Summary                      | 2022         | 2023         | 2024         | 2025         | 2026E        | 2027E        | 2028E        |
| <b>Revenues</b>                        | <b>5,720</b> | <b>6,628</b> | <b>6,894</b> | <b>7,162</b> | <b>7,457</b> | <b>6,940</b> | <b>7,341</b> |
| EBITDA                                 | 3,630        | 3,731        | 3,676        | 3,920        | 3,821        | 3,411        | 3,496        |
| <b>EBITDA Margin</b>                   | <b>63.5%</b> | <b>56.3%</b> | <b>53.3%</b> | <b>54.7%</b> | <b>51.2%</b> | <b>49.2%</b> | <b>47.6%</b> |
| <b>Adj EBITDA</b>                      | <b>3,142</b> | <b>3,356</b> | <b>3,070</b> | <b>3,129</b> | <b>3,411</b> | <b>2,861</b> | <b>2,946</b> |
| Net Income                             | 1,481        | 1,016        | 1,477        | 557          | 762          | 348          | 524          |
| # shares (diluted)                     | 346.4        | 346.4        | 346.4        | 328.6        | 328.6        | 327.3        | 327.3        |
| <b>EPS (diluted, R\$)</b>              | <b>4.28</b>  | <b>2.93</b>  | <b>4.26</b>  | <b>1.69</b>  | <b>2.32</b>  | <b>1.06</b>  | <b>1.60</b>  |
| EPS growth (%)                         | 59.7%        | -31.4%       | 45.4%        | -60.3%       | 36.8%        | -54.2%       | 50.7%        |
| <b>Net debt (cash)</b>                 | <b>2,916</b> | <b>3,546</b> | <b>3,386</b> | <b>5,006</b> | <b>5,151</b> | <b>5,315</b> | <b>5,220</b> |
| Net debt / EBITDA                      | 0.9x         | 1.1x         | 1.1x         | 1.6x         | 1.5x         | 1.9x         | 1.8x         |
| WC / Revenue                           | -3.8%        | -2.7%        | 1.8%         | 1.8%         | 3.0%         | 1.7%         | 1.9%         |
| Capex / Revenue                        | 42.7%        | 38.0%        | 36.0%        | 38.2%        | 40.3%        | 41.8%        | 32.5%        |
| <b>Free Cash Flow to equity</b>        | <b>136</b>   | <b>507</b>   | <b>779</b>   | <b>(40)</b>  | <b>19</b>    | <b>(321)</b> | <b>48</b>    |
| ROE (%)                                | 31.8%        | 18.1%        | 23.1%        | 8.2%         | 10.8%        | 4.6%         | 6.8%         |
| <b>ROIC (%)</b>                        | <b>13.7%</b> | <b>8.9%</b>  | <b>6.7%</b>  | <b>7.1%</b>  | <b>5.7%</b>  | <b>4.2%</b>  | <b>4.8%</b>  |
| Valuation Summary                      | 2022         | 2023         | 2024         | 2025         | 2026E        | 2027E        | 2028E        |
| <b>Current Valuation</b>               |              |              |              |              |              |              |              |
| EV / Tn (US\$)                         | 82           | 92           | 100          | 71           | 42           | 45           | 45           |
| EV / Revenue                           | 2.23         | 2.07         | 2.05         | 1.65         | 1.49         | 1.63         | 1.52         |
| EV / EBITDA                            | 4.1          | 4.1          | 4.6          | 3.8          | 3.3          | 3.9          | 3.8          |
| <b>P/E</b>                             | <b>6.6</b>   | <b>10.0</b>  | <b>7.3</b>   | <b>12.2</b>  | <b>7.9</b>   | <b>17.2</b>  | <b>11.4</b>  |
| P/BV                                   | 1.8          | 1.7          | 1.6          | 1.0          | 0.8          | 0.8          | 0.8          |
| FCF yield                              | 1.4%         | 5.0%         | 7.2%         | -0.6%        | 0.3%         | -5.4%        | 0.8%         |
| <b>Price Target Implicit Valuation</b> |              |              |              |              |              |              |              |
| EV / Tn (US\$)                         | 71           | 77           | 80           | 79           | 56           | 60           | 59           |
| EV / Revenue                           | 2.23         | 2.07         | 2.05         | 1.65         | 1.75         | 1.90         | 1.78         |
| EV / EBITDA                            | 4.1          | 4.1          | 4.6          | 3.8          | 3.8          | 4.6          | 4.4          |
| P/BV                                   | 1.8          | 1.7          | 1.6          | 1.0          | 1.1          | 1.0          | 1.0          |
| FCF yield                              | 1.4%         | 5.0%         | 7.2%         | -0.6%        | 0.2%         | -4.1%        | 0.6%         |

Source: Company Data, Morgan Stanley Research estimates

Exhibit 17: SCENARIOS (Key Debates Highlighted)

| SCENARIOS (Key Debates Highlighted)    |                |                  |                  |                  |
|----------------------------------------|----------------|------------------|------------------|------------------|
|                                        | CAGR           | Bull Case        | Base Case        | Bear Case        |
| Crushing capacity - Mn tn              | 2026-28E       | 0.0%             | 0.0%             | 0.0%             |
| Sugar cane crushing - Mn tn            | 2026-28E       | 4.2%             | 4.0%             | -4.3%            |
| Sugar (Tn mn)                          | 2026-28E       | 4.2%             | 4.0%             | -4.3%            |
| Cogeneration (MWh)                     | 2026-28E       | -4.0%            | -4.0%            | -5.0%            |
| Fx (BRL / USD)                         | 2027E          | 5.4              | 5.4              | 5.4              |
| Sugar Nybot prices (US\$ cents/lb)     | 2027E          | 21.0             | 17.0             | 10.0             |
| Ethanol price                          | 2027E          | 2,988            | 2,578            | 2,236            |
| Cogen price                            | 2027E          | 260.4            | 262.9            | 257.9            |
| Revenue growth                         | 2026-28E       | 8.8%             | -0.8%            | -19.2%           |
| EBITDA Adj margin                      | 2027E          | 49.5%            | 41.2%            | 23.3%            |
| Net debt / EBITDA                      | 2027E          | 1.2x             | 1.9x             | 4.8x             |
| Net Debt                               | 2027E          | 4,931            | 5,315            | 5,588            |
| ROIC                                   | 2027E          | 12.8%            | 7.8%             | 4.1%             |
| <b>Current Valuation</b>               |                | <b>Bull Case</b> | <b>Base Case</b> | <b>Bear Case</b> |
| EV / Tn (US\$)                         | 2027E          | 32.8x            | 45.2x            | 55.5x            |
| EV / EBITDA                            | 2027E          | 2.7x             | 3.9x             | 10.0x            |
| EV/EBITDA - Maint. Capex               | 2027E          | 7.0x             | 14.5x            | 22.5x            |
| PE                                     | 2027E          | 5.9x             | 17.2x            | NM               |
| P/BV                                   | 2027E          | 0.7x             | 0.8x             | 0.7x             |
| FCF yield                              | 2027E          | 4%               | -5%              | -9%              |
| <b>Price Target Implicit Valuation</b> |                |                  |                  |                  |
| EV / Tn (US\$)                         | 2027E          | 84               | 60               | 39               |
| EV / EBITDA                            | 2027E          | 4.4x             | 4.6x             | 8.2x             |
| EV/EBITDA - Maint. Capex               | 2027E          | 11.1x            | 16.9x            | 18.6x            |
| PE                                     | 2027E          | 12.4x            | 22.6x            | NM               |
| P/BV                                   | 2027E          | 1.5x             | 1.0x             | 0.5x             |
| FCF yield                              | 2027E          | 1.8%             | -4.1%            | -13.3%           |
| <b>Price target (SoP)</b>              | <b>R\$/Sh.</b> | <b>38.00</b>     | <b>24.00</b>     | <b>12.00</b>     |
| Upside                                 | %              | 108%             | 32%              | -34%             |

Source: Company Data, Morgan Stanley Research estimates



Exhibit 18: MS vs Consensus

| Versus Consensus |                |         |         |         |         |
|------------------|----------------|---------|---------|---------|---------|
| São Martinho     |                | 2025A   | 2026E   | 2027E   | 2028E   |
| PT               | Morgan Stanley |         | 24.00   |         |         |
|                  | Consensus      |         | 31.96   |         |         |
|                  | Dif %          |         | -25%    |         |         |
| Revenues         | Morgan Stanley | 7,162 e | 7,457 e | 6,940 e | 7,341 e |
|                  | Consensus      | 7,162 e | 7,538 e | 7,629 e | 8,460 e |
|                  | Dif %          | 0%      | -1%     | -9%     | -13%    |
| EBITDA Adj       | Morgan Stanley | 3,129 e | 3,411 e | 2,861 e | 2,946 e |
|                  | Consensus      | 3,445 e | 3,469 e | 3,397 e | 3,720 e |
|                  | Dif %          | -9%     | -2%     | -16%    | -21%    |
| EPS              | Morgan Stanley | 1.69    | 2.32    | 1.06    | 1.60    |
|                  | Consensus      | 1.69    | 2.61    | 1.78    | 2.35    |
|                  | Dif %          | 0%      | -11%    | -40%    | -32%    |

Source: Company Data, Visible alpha, Morgan Stanley Research

Exhibit 19: New vs Previous Estimates

| Table for the Monthly |          |         |         |         |         |
|-----------------------|----------|---------|---------|---------|---------|
| São Martinho          |          | 2025A   | 2026E   | 2027E   | 2028E   |
| PT                    | Current  |         | 24.00   |         |         |
|                       | Previous |         | 22.00   |         |         |
|                       | Dif %    |         | 9%      |         |         |
| Revenues              | Current  | 7,162 e | 7,457 e | 6,940 e | 7,341 e |
|                       | Previous | 7,162 e | 7,412 e | 7,179 e | 8,046 e |
|                       | Dif %    | 0%      | 1%      | -3%     | -9%     |
| EBITDA Adj            | Current  | 3,129 e | 3,411 e | 2,861 e | 2,946 e |
|                       | Previous | 3,129 e | 3,444 e | 3,058 e | 3,512 e |
|                       | Dif %    | 0%      | -1%     | -6%     | -16%    |
| EPS                   | Current  | 1.7 e   | 2.3 e   | 1.1 e   | 1.6 e   |
|                       | Previous | 1.7 e   | 1.9 e   | 1.5 e   | 2.7 e   |
|                       | Dif %    | 0%      | 21%     | -30%    | -42%    |

Source: Company Data, Morgan Stanley Research estimates

## Risk Reward – Sao Martinho SA (SMT03.SA)

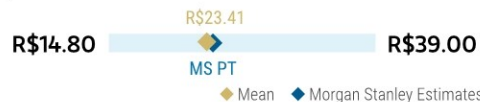
Undervalued, Underappreciated, and Nearing a Turn

### PRICE TARGET R\$24.00

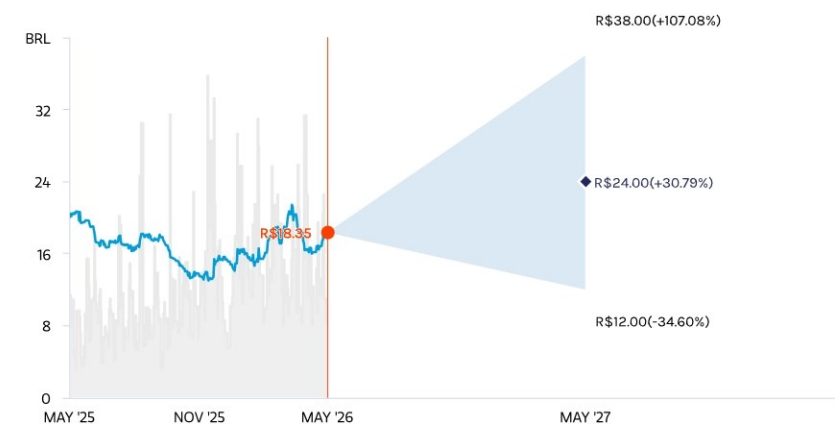
Derived from our sum-of-the-parts valuation using US\$60/ton for the S/E business with sugar prices at \$17c/lb and Corn Ethanol Operations at 6x EBITDA of R\$360

#### Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



### RISK REWARD CHART



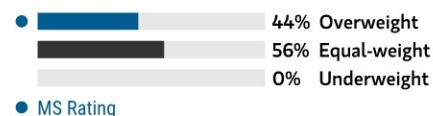
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

### OVERWEIGHT THESIS

- Trading below replacement cost; S&E valued at just ~US\$60/ton: below replacement cost and in line with distressed M&A multiples—despite its superior asset quality and scale.
- Current valuation implies zero value for its growing corn ethanol business. And Corn ethanol could be a re-rating catalyst. Strong inter-harvest ethanol prices and low inventories could drive upside surprises and prompt the market to reprice this underappreciated asset
- Margins and ROEs at decade lows; cycle inflection likely near: Margins and ROEs likely to fall below previous cycle lows, suggesting a potential supply response and setting the stage for a recovery.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

Pricing Power: *Negative*  
Renewable Energy: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

R\$38.00

##### Higher Sugar prices

Sugar prices at \$21c/lb re-rate S&E assets to 80 EV/Tn and 6x EBITDA for the Corn Business

#### BASE CASE

R\$24.00

##### Replacement cost

Assume \$60 EV/Tn, in line with recent M&A multiples under depressed Sugar prices (\$17c/lb) and 6x EBITDA for Corn Ethanol of R\$582mn with R\$2,436 Ethanol price.

#### BEAR CASE

R\$12.00

##### Further De-rating and no value to corn ethanol op

In our bear case of R\$12/share, we assume S&E assets will continue to de-rate to \$50/ton under lower Oil and sugar prices at \$10bu and the market will continue to assign no value to the Corn Ethanol business.

## Risk Reward – Sao Martinho SA (SMT03.SA)

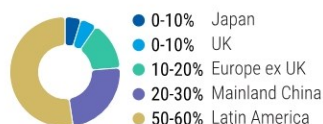
### KEY EARNINGS INPUTS

| Drivers                     | 2025     | 2026e    | 2027e    | 2028e    |
|-----------------------------|----------|----------|----------|----------|
| Sugar Prices                | 19.9     | 16.8     | 17.0     | 17.0     |
| Ethanol Prices              | 2,730.6  | 2,949.2  | 2,578.1  | 2,436.0  |
| Cane Crushing Volume        | 21,788.2 | 21,672.6 | 23,200.0 | 23,432.0 |
| Sugar in production mix (%) | 45.0     | 49.0     | 48.0     | 49.0     |
| EBITDA Margin (%)           | 54.7     | 51.2     | 49.2     | 47.6     |

### INVESTMENT DRIVERS

- **Sugar prices.**
- **Oil and Ethanol dynamics.** The relative profitability vs. sugar, influenced by Brent and FX.
- **Cost of production:** Margin and cash flow driver. SMT0 is the industry reference consistently.

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- **Stronger results**, if ethanol prices becomes more attractive than Sugar. Higher Oil prices, weaker FX
- **Corn ethanol plant** could affect shares if results (margins) exceed expectations
- **Global Supply Disruptions:** India below expected

#### RISKS TO DOWNSIDE

- **Fuel policies in Brazil:** changes could keep ethanol prices low
- **Sugar prices:** lower oil prices, Weather events may affect yield
- **Stronger BRL** reducing export revenues

### OWNERSHIP POSITIONING

Inst. Owners, % Active 60.1%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Mar 2026e

**Sales / Revenue** (R\$, mm)

|       |       |       |
|-------|-------|-------|
| 7,007 | 7,457 | 7,535 |
|       | 7,362 |       |

**EBITDA** (R\$, mm)

|       |       |       |
|-------|-------|-------|
| 3,157 | 3,411 | 3,607 |
|       | 3,370 |       |

**Net income** (R\$, mm)

|     |     |       |
|-----|-----|-------|
| 254 | 762 | 1,078 |
|     | 636 |       |

**EPS** (R\$)

|      |      |      |
|------|------|------|
| 0.81 | 2.32 | 2.51 |
|      | 1.90 |      |

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research





# Morgan Stanley Sugar Supply and Demand Estimate Changes

**Exhibit 20:** Global Sugar Supply and Demand: Estimates Summary and Estimates Summary Changes

|                                   | Current      |              |              |              | Previous     |              |              | Estimate Change % |               |
|-----------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|-------------------|---------------|
| Production                        | 23/24        | 24/25        | 25/26e       | 26/27e       | 24/25        | 25/26e       | 26/27e       | 25/26e            | 26/27e        |
| Brazil                            | 45.5         | 43.7         | 44.0         | 42.9         | 43.7         | 42.2         | 44.1         | +4%               | -3%           |
| India                             | 29.5         | 28.0         | 28.2         | 27.3         | 28.0         | 32.0         | 31.0         | -12%              | -12%          |
| Thailand                          | 8.8          | 10.0         | 12.0         | 9.5          | 10.0         | 11.0         | 9.9          | +9%               | -4%           |
| European Union                    | 15.7         | 16.4         | 15.1         | 15.1         | 16.4         | 15.1         | 15.1         | +0%               | +0%           |
| China                             | 10.0         | 11.2         | 12.5         | 11.5         | 11.2         | 12.5         | 11.5         | +0%               | +0%           |
| Rest of the World                 | 70.7         | 71.2         | 71.7         | 72.0         | 71.2         | 71.7         | 72.0         | +0%               | +0%           |
| <b>Production (mn tns)</b>        | <b>180.2</b> | <b>180.5</b> | <b>183.5</b> | <b>178.2</b> | <b>180.5</b> | <b>184.4</b> | <b>183.6</b> | <b>-1%</b>        | <b>-3%</b>    |
| YoY Change                        | 0.5%         | 0.1%         | 1.7%         | -2.9%        | 0.1%         | 2.2%         | -0.5%        |                   |               |
| Demand                            | 23/24        | 24/25        | 25/26e       | 26/27e       | 24/25        | 25/26e       | 26/27e       | 25/26e            | 26/27e        |
| Brazil                            | 9.5          | 9.0          | 9.0          | 8.9          | 9.0          | 9.0          | 8.9          | +0%               | +0%           |
| India                             | 30.3         | 30.4         | 30.1         | 30.1         | 30.4         | 30.4         | 30.4         | -1%               | -1%           |
| Thailand                          | 3.8          | 4.0          | 4.0          | 4.1          | 4.0          | 4.1          | 4.1          | -0%               | -0%           |
| European Union                    | 16.4         | 15.9         | 15.9         | 15.8         | 15.9         | 15.9         | 15.9         | +0%               | -0%           |
| China                             | 15.5         | 15.4         | 15.5         | 15.5         | 15.4         | 15.5         | 15.5         | +0%               | +0%           |
| Rest of the World                 | 105.3        | 105.8        | 106.3        | 106.9        | 105.8        | 106.3        | 106.9        | +0%               | +0%           |
| <b>Demand (mn tns)</b>            | <b>180.8</b> | <b>180.5</b> | <b>180.8</b> | <b>181.4</b> | <b>180.5</b> | <b>181.1</b> | <b>181.7</b> | <b>-0%</b>        | <b>-0%</b>    |
| YoY Change                        | 0.0%         | -0.2%        | 0.2%         | 0.3%         | -0.2%        | 0.3%         | 0.3%         |                   |               |
| <b>Global Ending Stocks</b>       | 45.0         | 44.9         | 47.6         | 44.5         | 44.9         | 48.2         | 50.1         | -1%               | -11%          |
| <b>Surplus/Deficit (000 tns)</b>  | <b>-0.6</b>  | <b>-0.1</b>  | <b>2.7</b>   | <b>-3.1</b>  | <b>-0.1</b>  | <b>3.4</b>   | <b>1.9</b>   | <b>-19%</b>       | <b>-265%</b>  |
| Surplus/Deficit as% of use        | 0%           | 0%           | 1%           | -2%          | 0%           | 2%           | 1%           | -35bp             | -275bp        |
| <b>Stock-to-use (%)</b>           | <b>25%</b>   | <b>25%</b>   | <b>26%</b>   | <b>25%</b>   | <b>24.9%</b> | <b>26.6%</b> | <b>27.6%</b> | <b>-31bp</b>      | <b>-306bp</b> |
| <b>Sugar Price-NY#11 (Usc/lb)</b> | 23.0         | 16.1         | 17.0         | 17.0         | 16.1         | 15.0         | 16.1         | +13%              | +6%           |
| <b>Future curve (Usc/lb)</b>      | 14.7         | 15.7         | 16.3         | 16.9         | 14.8         | 15.4         | 15.7         | +6%               | +7%           |
| <b>Oil</b>                        | 82.2         | 70.8         | 100.0        | 80.0         | 70.8         | 62.0         | 63.8         | +61%              | +25%          |

Source: USDA, Morgan Stanley Research estimates, UNICA, Conab

**Exhibit 21:** Brazil Sugar and Ethanol Production Estimates Change Summary

| Old vs New                             | Current |       |       |        | Previous |        |        | Estimate change (%) |        |
|----------------------------------------|---------|-------|-------|--------|----------|--------|--------|---------------------|--------|
| Brazil                                 | 23/24   | 24/25 | 25/26 | 26/27e | 24/25    | 25/26e | 26/27e | 25/26e              | 26/27e |
| <b>Center South (Apr-Mar)</b>          |         |       |       |        |          |        |        |                     |        |
| Cane Crushing (mn tns)                 | 654     | 622   | 611   | 636    | 622      | 607    | 622    | +1%                 | +2%    |
| TRS (kg/tn)                            | 139.2   | 141.1 | 137.8 | 138.5  | 141.1    | 137.5  | 140.3  | +0%                 | -1%    |
| Sugar Mix                              | 49.0%   | 48.1% | 50.4% | 48.0%  | 48.1%    | 51.0%  | 45.7%  |                     |        |
| Ethanol Mix                            | 51.0%   | 51.9% | 49.6% | 52.0%  | 51.9%    | 49.0%  | 54.3%  |                     |        |
| Sugar Production (mn tns)              | 42      | 40    | 40    | 40.3   | 40.2     | 40.6   | 38.0   | -0%                 | +6%    |
| Ethanol (bn liters)                    | 27.3    | 26.8  | 24.5  | 25.9   | 27.1     | 23.2   | 26.9   | +6%                 | -3%    |
| <b>North North East</b>                |         |       |       |        |          |        |        |                     |        |
| Cane Crushing (mn tns)                 | 60.7    | 58.4  | 57.0  | 55.9   | 58.4     | 59.6   | 60.2   | -4%                 | -7%    |
| Sugar Production (mn tns)              | 3.4     | 3.8   | 3.7   | 3.2    | 3.8      | 3.7    | 3.9    | +1%                 | -17%   |
| <b>Brazil</b>                          |         |       |       |        |          |        |        |                     |        |
| Cane Crushing (mn tns)                 | 715.1   | 680.3 | 668.2 | 691.7  | 680.3    | 666.4  | 682.3  | +0%                 | +1%    |
| Sugar Production (mn tns) Apr-Mar      | 45.8    | 44.0  | 44.2  | 43.5   | 44.0     | 44.2   | 41.9   | -0%                 | +4%    |
| Sugar Production (mn tns) Sep-Oct      | 45.5    | 43.7  | 44.0  | 42.9   | 43.7     | 44.0   | 42.9   | +0%                 | +0%    |
| <b>Ethanol</b>                         |         |       |       |        |          |        |        |                     |        |
| Ethanol Production (CS)                | 33.6    | 35.0  | 33.7  | 37.5   | 34.7     | 32.6   | 37.8   |                     |        |
| Total Cane Ethanol (bn lt) (anhydrous) | 27.3    | 26.8  | 24.5  | 25.9   | 27.1     | 23.2   | 26.9   | +6%                 | -3%    |
| Total Corn Ethanol (bn lt) (anhydrous) | 6.27    | 8.19  | 9.19  | 11.58  | 7.6      | 9.5    | 10.9   | -3%                 | +6%    |
| Ethanol price (from adeco model)       | 2.41    | 2.75  | 2.93  | 3.12   | 2.75     | 2.93   | 3.12   | +0%                 | +0%    |

Source: Morgan Stanley Research Estimates, USDA, Unica, Conab

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)



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|                       | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
| Stock Rating Category | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1546              | 42%        | 467                              | 51%            | 30%                  | 709                                               | 44%                   |
| Equal-weight/Hold     | 1568              | 43%        | 358                              | 39%            | 23%                  | 715                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 555               | 15%        | 84                               | 9%             | 15%                  | 202                                               | 12%                   |
| Total                 | 3,673             |            | 909                              |                |                      | 1627                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index on a risk-adjusted basis, over the next 12-18 months.

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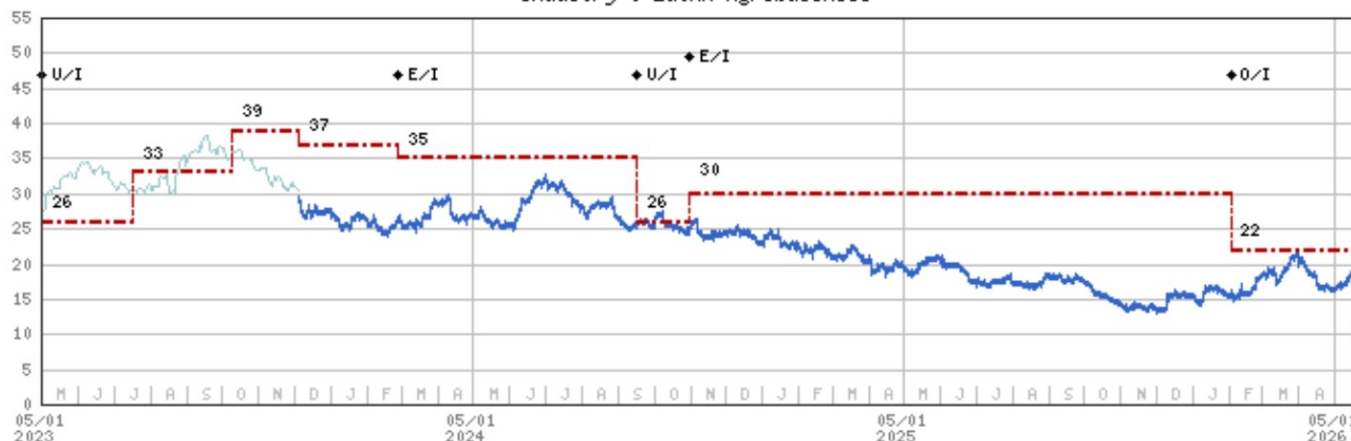
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## Stock Price, Price Target and Rating History (See Rating Definitions)

Sao Martinho SA (SMT03.SA) - As of 05/19/26 GMT in BRL  
Industry : LatAm Agribusiness



Stock Rating History: 5/1/21 : E/I; 12/14/22 : U/I; 2/27/24 : E/I; 9/17/24 : U/I; 10/31/24 : E/I; 2/2/26 : O/I

Price Target History: 3/28/21 : 31; 10/18/21 : 42; 5/27/22 : 48; 8/3/22 : 42; 12/14/22 : 26; 7/17/23 : 33; 10/9/23 : 39; 12/5/23 : 37; 2/27/24 : 35; 9/17/24 : 26; 10/31/24 : 30; 2/2/26 : 22

Source: Morgan Stanley Research

Date Format: MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: LatAm Agribusiness

| COMPANY (TICKER)                                | RATING (AS OF) | PRICE* (05/19/2026) |
|-------------------------------------------------|----------------|---------------------|
| Javier Martinez de Olcoz Cerdan                 |                |                     |
| Sociedad Quimica y Minera de Chile S.A. (SQM.N) |                | US\$80.45           |

|                              |                |  |           |
|------------------------------|----------------|--|-----------|
| Julia Rizzo                  |                |  |           |
| ADECOAGRO S.A. (AGRO.N)      | E (03/16/2026) |  | US\$13.32 |
| Rumo SA (RAIL3.SA)           | E (03/30/2025) |  | R\$14.61  |
| Sao Martinho SA (SMT03.SA)   | O (02/02/2026) |  | R\$18.35  |
| SLC Agricola S.A. (SLCE3.SA) | E (09/17/2025) |  | R\$16.79  |

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